

Robinhood Markets, Inc.

HOOD NASDAQ

Hold

\$101.82 ▼ 2.55%

12M Price Target
\$110.00

52-Week Range
\$63.52 – \$153.86

Market Cap
\$91.69B

HOOD: Day-Trader Rule Death is a Quiet Gift

WHAT HAPPENED

- Stock's down 2.5% today after a nice pop earlier in the week — Cathie Wood's ARK sold MORE HOOD even as the company announced it hit 1 million Gold subscribers and launched a Platinum card. Translation: one of the loudest bulls is trimming into strength, which is why the tape feels heavy despite genuinely good product news.
- Barron's dropped a piece yesterday that the "Pattern Day Trader Rule" is effectively dead — that's the SEC rule that stopped anyone with less than \$25K in their account from day-trading more than 3 times a week. This is a MASSIVE tailwind for Robinhood specifically because their user base is disproportionately small-account retail traders. More trades = more payment-for-order-flow revenue.

WHY IT MATTERS

The pattern day trader rule dying is a bigger deal than the market is pricing in today — Robinhood's whole business model is small-account traders making lots of trades, and that rule was the single biggest handbrake on their revenue per user. Combine that with a crypto-friendly administration (crypto is now ~25% of HOOD's transaction revenue) and the Gold/Platinum subscription flywheel, and you have three tailwinds hitting at once. BUT — Cathie Wood selling and the stock only being at 42% of its 52-week range tells you the smart money thinks a lot of this is already in the price at \$100+. The options flow is screaming bullish (call buyers outnumber puts 3-to-1) which usually means near-term upside, but that's also a crowded trade that can unwind fast.

POLICY & POLITICAL WATCH

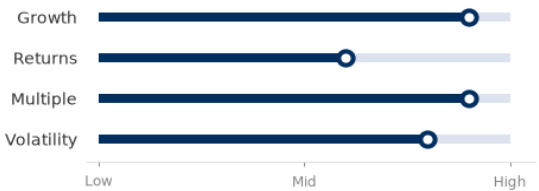
Three policy threads matter right now: (1) The SEC under the current administration has quietly killed or defanged rules that hurt retail brokers — pattern day trader rule being the latest, and payment-for-order-flow (how HOOD makes most of its money by routing your trades to market makers) survived a Gensler-era attack and is safe for now. (2) The crypto regulatory framework passed last year gave HOOD legal cover to expand crypto offerings — they've been aggressive here and it's showing up in revenue. (3) Watch for any tokenized equities / prediction markets legislation — HOOD has been lobbying hard for both, and if either gets a green light, that's a whole new revenue stream.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$101.82
12M Price Target	\$110.00
Upside / (Downside)	+8.0%
Market Cap	\$91.69B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.45
FY2027E EPS	\$1.90
Fwd P/E	70.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$115.00	\$105.00	\$92.00
6 Months	\$135.00	\$110.00	\$80.00
1 Year	\$160.00	\$115.00	\$70.00
2 Years	\$200.00	\$140.00	\$60.00
5 Years	\$300.00	\$180.00	\$50.00
10 Years	\$500.00	\$250.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.9% today, +5.8% on the week) — driven by geopolitical noise and the administration's drill-baby-drill stance. Industrials also strong on infrastructure spending.

COOLING OFF: Tech is soft today (-0.5%), which is dragging HOOD down with it since it trades like a tech/fintech hybrid. Healthcare is drifting.

ROTATION WATCH: Money is rotating OUT of high-multiple tech/fintech and INTO cyclical (energy, industrials) — that's a headwind for HOOD's multiple even if the business is fine. When investors want "safety" or cyclical exposure, richly-valued fintech gets sold first.

RELATED PLAY: If retail trading is booming, the market makers that execute HOOD's order flow win too — Virtu (VIRT) and Citadel Securities (private) are the picks-and-shovels play. Coinbase (COIN) is the pure-play crypto version of this same thesis.

WHO'S WINNING IN THIS SPACE?

- IBKR (Interactive Brokers): Just beat Q2 earnings with rising DARTs (daily average revenue trades) — confirms the retail trading environment is genuinely strong, which is good read-through for HOOD.
- SCHW (Charles Schwab): Also beat but stock slid — market's saying "good but priced in," which is a warning shot for HOOD too.

HOOD CONTEXT: HOOD is lagging its peers today despite arguably better catalysts (day-trader rule, product launches). That divergence is worth watching — either HOOD catches up (bullish) or the whole broker group rolls over (bearish). The fact that IBKR beat but got sold anyway suggests the market is already skeptical about how much more upside is left in the trading boom.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$90-95 on pullbacks

Time Horizon: 12-18 months

Thesis Invalidation: Crypto trading volumes collapse >30% or retail engagement metrics turn negative two quarters running

Hedging: Pair with a short on SCHW or IBKR to isolate the Robinhood-specific upside